



MARKET MONITOR

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No.37 – April 2016

Roundup

The FAO-AMIS first forecasts for wheat, rice and maize supply and demand in 2016/17 suggest another season of large availabilities and continuing slow growing consumption. However, with wheat production in 2016 projected to decline below the 2015 record and to fall short of utilization in 2016/17, global inventories will need to be drawn down. Maize and rice stocks, while remaining large, are also anticipated to end lower in 2017. The outlook for soybeans markets in 2015/16 has improved since the previous report, supported by more buoyant production forecasts in South America, which would boost world inventories to a new record.

Markets at a glance

	From previous forecast	From previous season
Wheat	n/a	▼
Maize	n/a	▼
Rice	n/a	▼
Soybeans	■	▲
▲ Easing ■ Neutral ▼ Tightening		

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Visit us at: www.amis-outlook.org



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World supply-demand outlook

in million tonnes

- **Wheat** production to fall by 2.8 percent in 2016 with most of the decline in Morocco, Russia and Ukraine.
- Utilization in 2016/17 to remain largely unchanged from 2015/16 with a decline in feed use more than compensating for a rise in food consumption.
- Trade in 2016/17 (July/June) to increase marginally, supported by higher imports by Morocco.
- Stocks (ending in 2017) to decline by 5.3 percent to a three year low, reflecting smaller projected inventories mostly in the CIS.

	FAO-AMIS		USDA		IGC	
	2015/16	2016/17	2014/15	2015/16	2015/16	2016/17
	est.	fcast	est.	fcast	est.	fcast
		7-Apr		9-Mar		1-Apr
Production	733	713	725	732	734	713
Supply	933	917	920	947	934	927
Utilization	724	723	705	709	720	716
Trade	152	153	164	163	154	153
Stocks	204	194	215	238	214	211

- **Maize** production to increase by 1.1 percent in 2016, sustained by higher outputs in EU, Ukraine and the US.
- Utilization in 2016/17 is projected to expand by 2.2 percent as large supplies and low prices stimulate feed and industrial use.
- Trade in 2016/17 (July/June) to stay flat with higher imports in southern Africa offsetting reduced import demand in Asia and Europe.
- Stocks (ending in 2017) could fall by 5 percent from the record high opening level but remain above the five-year average.

	FAO-AMIS		USDA		IGC	
	2015/16	2016/17	2014/15	2015/16	2015/16	2016/17
	est.	fcast	est.	fcast	est.	fcast
		7-Apr		9-Mar		1-Apr
Production	1002	1014	1010	970	972	993
Supply	1219	1230	1184	1175	1179	1199
Utilization	1002	1024	979	968	973	991
Trade	129	129	141	120	127	126
Stocks	216	205	205	207	206	208

- **Rice** production in 2016 to expand by 1.0 percent, on expectations of recoveries in India, the Philippines, Thailand and the US.
- Utilization in 2016/17 to rise by 1.4 percent, with food use keeping pace with projected population growth.
- Trade in 2017 is tentatively forecast to decrease, reflecting reduced import demand by several countries in Asia.
- Stocks (ending in 2017) to contract, as continued draw-downs by India and Thailand could offset build-ups mainly in China and the Republic of Korea.

	FAO-AMIS		USDA		IGC	
	2015/16	2016/17	2014/15	2015/16	2015/16	2016/17
	est.	fcast	est.	fcast	est.	fcast
		7-Apr		9-Mar		1-Apr
Production	490	495	479	471	473	485
Supply	664	664	586	575	582	582
Utilization	496	503	483	484	485	489
Trade	44.9	44.1	43.6	41.7	41.8	41.6
Stocks	169	164	104	91	97	93

- **Soybeans** 2015/16 production raised by 1.3 million tonnes on higher than anticipated output in Argentina, Brazil, and Uruguay.
- Utilization in 2015/16 mostly steady as further downward revisions in the US, Brazil and other countries nearly offset higher crush estimates in Argentina.
- Trade forecast lowered slightly, confining the expansion to 3.5 percent – compared to last year's 11 percent growth.
- Stocks (2015/16 carry-out) exceed previous season's all-time record by over 6 percent.

	FAO-AMIS		USDA		IGC	
	2014/15	2015/16	2014/15	2015/16	2015/16	2016/17
	est.	fcast	est.	fcast	est.	fcast
		3-Mar		9-Mar		1-Apr
Production	320	320	319	320	323	320
Supply	352	366	380	397	360	360
Utilization	303	318	299	316	321	327
Trade	127	132	126	131	129	133
Stocks	45	48	77	79	39	33

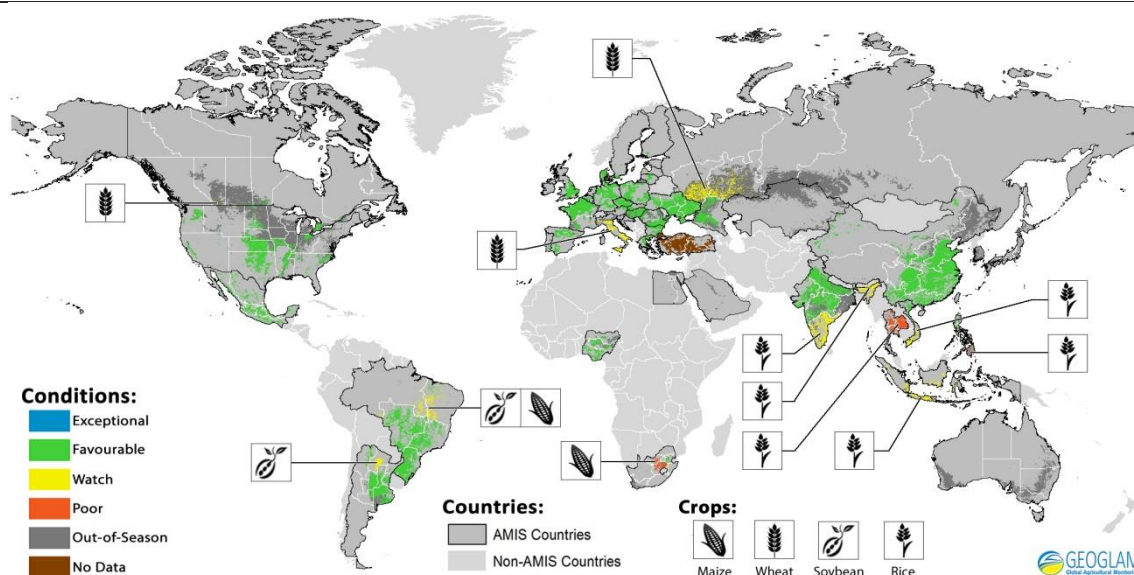


FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to <http://statistics.amis-outlook.org/data/index.html#COMPARE>

Crop monitor

Crop conditions in AMIS countries (as of March 28th)



Crop condition map synthesizing information for all four AMIS crops as of March 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, conditions continue to be largely favourable for the winter wheat crop, which is resuming vegetative growth following winter dormancy. Conditions in Ukraine have improved since last month however some concern remains over the poor establishment in the fall. The southern hemisphere is currently out of season.

Maize - In the southern hemisphere, conditions continue to be relatively favourable, with the notable exception of South Africa, where they remain poor over the western production regions despite recent rains. The northern hemisphere is still

largely out of season with the exception of India, Mexico and China where conditions are favourable.

Rice - El Niño continues to cause concern and impact conditions in southeast Asia, especially in Thailand. Conditions in India deteriorated due to unfavourable moisture levels while in the other countries they remain generally favourable.

Soybeans - In the southern hemisphere, conditions remain generally favourable. However, in Brazil concern remains due to reduced rainfall in the northern and northeastern regions. The northern hemisphere is currently out of season.

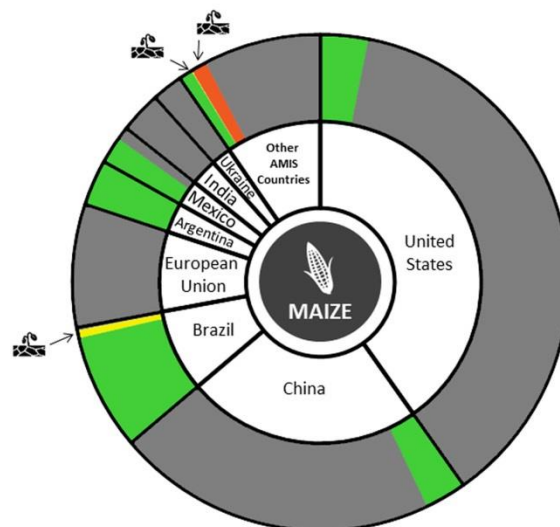
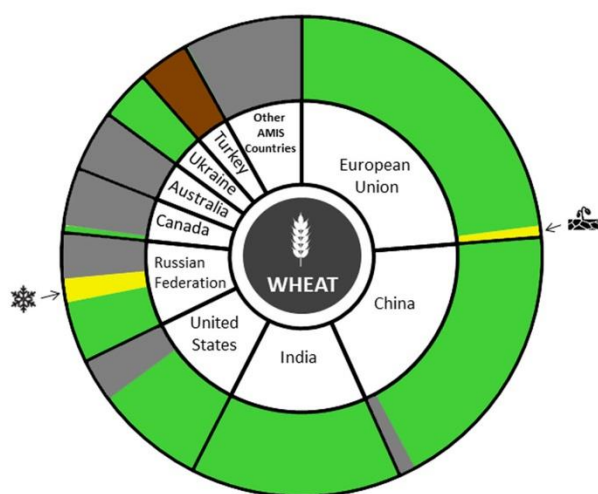
El Niño declining

The ongoing El Niño continues to decline from its peak strength in late 2015, with neutral conditions expected by June. According to several UN agency estimates, it has already resulted in 60 million people affected by droughts, floods and extreme weather and its aftermath impact on food security is expected to continue well into 2017. Late arriving rains in Southern Africa this past month provided relief for pastures and water supplies, but are too late to mitigate widespread and severe drought impacts on crop production. Significant precipitation also arrived in March in Central Asia, likewise later than usual, in this case improving summer water supply prospects for important areas of irrigated agriculture in Afghanistan, Pakistan, and Tajikistan. Drought is expected to continue through June in Southeast Asia and across northern South America, including northeast Brazil, while in the same period southeast Brazil and Uruguay should see continuation of above average rainfall. No El Niño impacts are anticipated in the main summer growing season (June-July-August) of North America, Europe, Russia, China, and India. Thereafter, neutral conditions could persist through the last quarter of 2016, or there is a possibility of transition to La Niña. Odds of reverting to El Niño are low. A review of past El Niño events and model projections for October-December 2016 puts the probabilities at approximately 50 percent for La Niña, 40 percent for neutral, and 10 percent for El Niño.

Conditions:



Drivers:

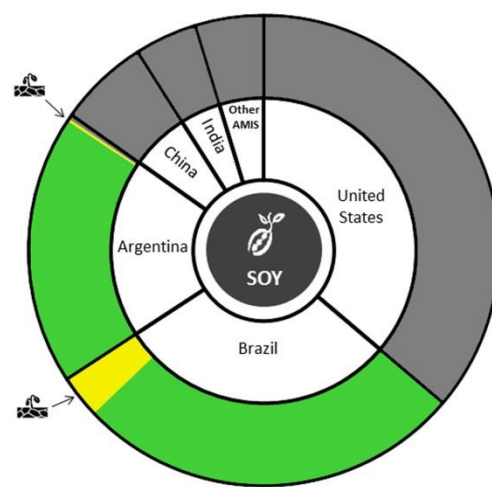
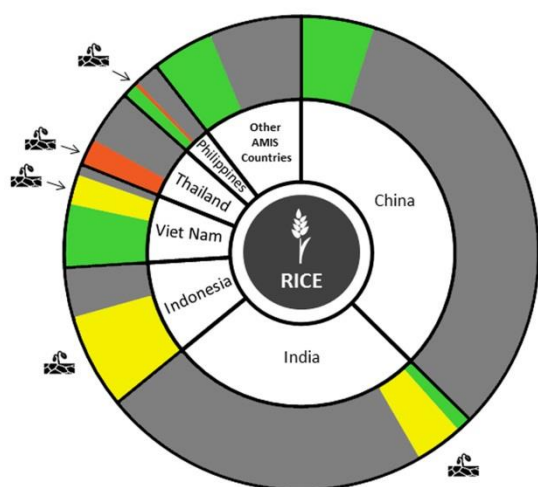


Wheat

In the **EU**, the crop is generally in good condition and well developed due to the mild winter conditions and prospects are promising. Conditions have slightly deteriorated in Italy due to dry conditions. In the **US**, the crop has emerged from dormancy and is rapidly growing. Conditions are generally favourable throughout. In **China**, winter wheat is generally in the jointing stage. Overall, crop conditions are at the 5-year average level. Cooler weather caused below average conditions in southern Jiangsu and eastern and southern Henan. However, crop conditions were above average in eastern Sichuan, Chongqing and northern Guizhou due to favourable temperature and abundant rainfall. In the **Russian Federation**, the crop is still mostly dormant, except in southern regions. Winterkill will be assessed later this month. In **Canada**, conditions for winter wheat are mixed in Western Canada, especially in central British Columbia, Alberta and the southern Prairies. The situation could improve drastically in April with normal precipitation patterns. There is also concern over winterkill in the western Prairies. In **India**, conditions are favourable and the crop is in ripening through harvest stages. In **Ukraine**, the crop continued to break winter dormancy and resume vegetative growth with almost no instances of winterkill. Conditions improved in many eastern and southern regions however, some concern remains over the poor establishment conditions in the fall.

Maize

In **Brazil**, conditions for the summer-planted crop (the larger producing season) continue to be favourable and the crop is generally in vegetative to reproductive stages. For the spring-planted crop, conditions are mostly favourable with the exception of the northeast and part of the north region where continued dry conditions reduced yields. This crop is mostly in the reproductive through harvesting stages. In **Argentina**, conditions remain generally favourable. The crop is grain filling to maturity stages and harvest has begun for the early-planted crop. In **South Africa**, late rains in March were generally too late to improve production prospects. Conditions improved over the eastern growing regions due to above-normal rainfall during March, but remain poor over the western production regions. Significant concerns remain over production, which is expected to be much below average. In **China**, spring maize is at seeding to three-leaf stage in Guangxi and the crop is in above average condition. In **India**, harvest continues and conditions are favourable. In **Mexico**, planting is almost complete for the autumn-planted crop and conditions are favourable. Planted area has increased relative to last year.

Conditions:**Drivers:****Rice**

In **India**, conditions are mixed for the rabi crop due to unfavourable moisture conditions. In **China**, early rice is in the seeding stage in southern regions without major concerns at this early stage of the season. In **Thailand**, conditions for the dry season crop continue to be poor due to a water shortage attributed to El Niño and concern over pests and plant disease outbreaks in the northern and central regions. In **Viet Nam**, harvesting has begun for the winter-spring dry season crop and conditions are favourable in the northern region but mixed in the southern region due to salinization because of the low water levels of the Mekong River. In **Indonesia**, the wet season crop is in favourable condition, even though the monsoon rains were delayed, owing to a combination of sufficient irrigation and sunlight. Planted area is down due to the limited irrigation water. In the **Philippines**, the dry season crop conditions are favourable in the northern regions and mixed in the southern regions due to insufficient water and intense heat brought about by prolonged dry spells. In **Brazil**, excessive rainfall during parts of the growing season in the southern region, which is the main producing region, reduced yields. The crop is generally in the ripening through harvest stage. In **Argentina**, harvest has begun and conditions are favourable.

Soybeans

In **Brazil**, conditions are generally favourable in the center-west, southeast and southern regions for the crop which is in the ripening through harvest stages. However, the reduced rainfall in the northeast and part of the north region reduced yields relative to last year. In **Argentina**, conditions remain good in most regions. There are some concerns over the central and northern regions and localized areas in southern Buenos Aires. The first crop is in grain-filling or maturity stages and the second crop has begun to fill grain. Harvest of the first soybean crop has begun in early-planted regions.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published April 7th 2016

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RICE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IIRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- **India** extended the current 25 percent import duty on wheat until 30 June 2016. The tax was due to expire on 31 March.

Maize

- On 30 March, **Brazil** announced it will sell maize from public stocks and that it is considering relaxing maize import taxes.
- **China** announced the end of the state maize purchasing and stockpiling programme starting in 2016/17 starting from October 2016. Farmers will be offered direct support and other forms of subsidies but no details are yet available. This follows a recent decision by the Government to reduce the guaranteed purchase price by 10 percent for this year's maize crops - to be harvested in September.

Rice

- **Indonesia** launched a rice purchase programme that would procure rice directly from farmers. Also in Indonesia, negotiations announced in February to diversify import origins of rice were halted. (Monthly market monitor February 2016).
- In **Thailand** THB 10 billion (USD 282 million) will be available as loans to farmers to stock rice. Also in Thailand 418,000 tonnes of rice were auctioned from state reserves on 30 March. More auctions are announced in efforts to clear stockpiled rice.

Soybeans

- **Brazil** announced new rules on collective bargaining and increased by 7 percent the funds allocated to collective operations to BRL 32 million (USD 8.9 million).

Biofuels

- In March, **Argentina** increased the effective export duty on biodiesel to 6.4 percent. This follows an increase in February to 3.89 percent from a historical low at 1.62 percent in January. In February, the bioethanol blending requirement had increased from 10 to 12 percent.
- In **Brazil**, the ethanol import tax was replaced by an 11.75 percent import tariff. Contrary to the previous tax, there is no offsetting credit foreseen for importers under the new tariff. A Bill is awaiting presidential approval that would gradually increase the mandated percentage of biodiesel blending requirement by one percent every year starting from the current 7 percent to reach 10 percent after three years.

Across the board

- On 29 March the WTO ruled in favor of several claims by Argentina against anti-dumping duties imposed on its biodiesel imports by the EU, but the WTO also said the EU regulation at the heart of the dispute did not violate WTO rules.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Mar 2015 Average*	% Change M/M	% Change Y/Y
GOI	178	+ 0.4%	- 12.5%
Wheat	161	- 0.3%	- 17.5%
Maize	171	- 2.5%	- 5.5%
Rice	150	- 0.4%	- 9.7%
Soybeans	172	+ 1.8%	- 12.5%

*Jan 2000=100, derived from daily export quotations

Wheat

Overall, world wheat export prices averaged modestly lower m/m. Nevertheless, values edged upward as the month progressed, mainly responding to gains in the US, where concerns mounted about unfavourable weather for 2016 crops. Lower than anticipated US planting intentions data lifted values at the end of the month. While values moved upward elsewhere, overall market sentiment remained generally weak, as heavy old crop supplies continued to overhang markets, resulting in strong competition for any export business. With global 2016 harvest prospects considered mostly favourable, the likelihood of large old crop carryovers in the major exporters was seen maintaining pressure on values in the medium term. After the disruptions to tenders last month, purchases by Egypt's GASC broadly caught up with the year-ago pace. Because of poor local production, Ethiopia was in the market for around 0.5m tonnes, taking recent purchases to at least 2.0m.

Maize

After the previous month's gains, average world export prices were weaker across all major origins in March, with the IGC GOI maize sub-Index down by about 3 percent m/m. Markets were mainly pressured by ample feedgrain supplies and increasingly favourable production outlooks in South America. US quotations were particularly soft, with spot prices dropping to their lowest since mid-2010 early in the month, as exporters lowered offers in an attempt to attract demand, while a much bigger than anticipated outlook for 2016 area weighed at the end of March. Movements in Argentina

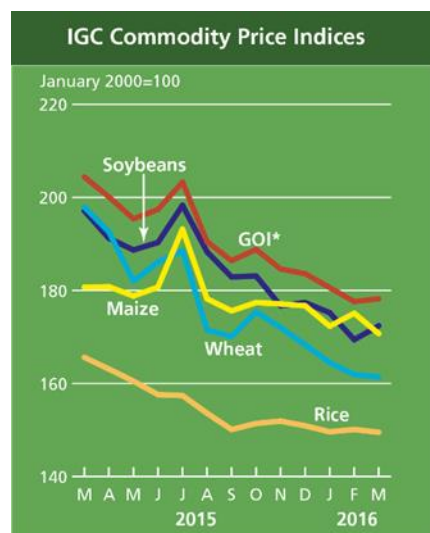
mainly tracked those in the US, but with a slightly firmer tone prevailing later in the month. Prices in the Black Sea region were similarly lower, pressured by strong competition for business, including from low/medium grade wheat, as well as concerns about a slowdown in sales to China.

Rice

Concerns about irrigation water availabilities in Southeast Asia shaped global white and parboiled rice markets throughout March, with downgraded expectations for Vietnam's main (winter-spring) crop and Thailand's off-season outturn providing support. However, with demand-side worries – linked to ideas that local markets in Indonesia and the Philippines were adequately supplied – countering upside potential, the IGC GOI rice sub-Index was little changed m/m. Outside of Asia, US long-grain values were weighed by reduced competitiveness against other origins and the slow underlying pace of exports.

Soybeans

World soybean markets strengthened in the past month, the IGC GOI sub-Index posting a net gain of close to 2 percent. Sentiment was buoyed by robust international demand, especially for South American new crop supplies, more than offsetting pressure from the advancing harvest in Brazil and prospects for bumper outturns in the region. With firm buying interest from local processors and currency movements adding support, average (March) export quotations in Argentina and Brazil rose by up to 3 percent m/m, contrasting with roughly steady values in the US.



*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2015	March	204.4	197.9	180.7	165.6	197.1
	April	200.1	192.6	180.8	163.1	191.2
	May	195.4	182.0	178.8	160.5	188.7
	June	197.4	186.1	180.7	157.6	190.3
	July	203.3	188.5	193.2	157.4	198.3
	August	190.5	171.5	178.2	153.6	188.3
	September	186.4	170.1	175.6	150.1	182.9
	October	188.8	175.4	177.4	151.4	183.1
	November	184.6	172.0	177.1	151.9	176.7
	December	183.6	168.3	176.7	150.9	177.4
	2016 January	180.6	164.5	172.3	149.6	175.2
	February	177.6	161.9	175.1	150.1	169.4
	March	178.2	161.4	170.7	149.5	172.4

Selected export prices and price indices

Daily quotations of selected export prices (USD/tonne, 2014-2016)

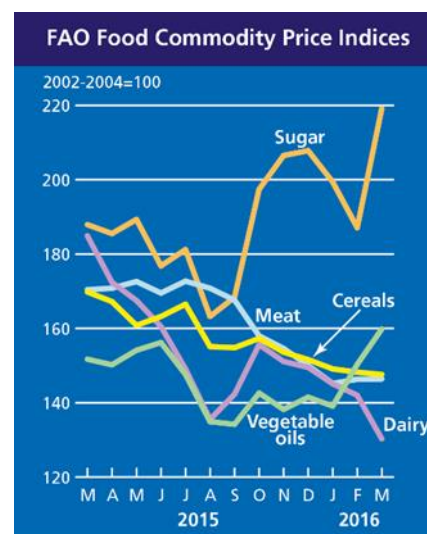


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	4-Apr	204	206	207	256	-1.0%	-20.3%
Maize (US No. 2, Yellow)	4-Apr	157	162	156	174	-3.2%	-9.6%
Rice (Thai 100% B)	4-Apr	379	378	370	400	0.3%	-5.3%
Soybeans (US No.2, Yellow)	4-Apr	349	351	340	390	-0.5%	-10.5%

The **FAO Food Price Index** averaged 151.0 points in March 2016, up 1.0 percent from February, but almost 21 points (12.0 percent) below its March 2015 level. The main feature last month was the strong rebound in sugar prices, which, combined with a further increase in vegetable oil quotations, more than offset a plunge in dairy values. International prices of the other commodities used in the calculation of the FFPI changed little.

www.fao.org/worldfoodsituation/foodpricesindex



FAO food price indices

Food Price Index		Meat	Dairy	Cereals	Oils and Fats	Sugar
(..... 2002-2004 = 100)						
2015	March	171.5	170.4	184.9	169.8	187.9
	April	168.4	170.8	172.4	167.2	185.5
	May	167.2	172.6	167.5	160.8	189.3
	June	164.9	169.5	160.5	163.2	176.8
	July	164.2	172.7	149.1	166.5	181.2
	August	155.0	170.8	135.5	155.1	163.2
	September	155.3	167.6	142.3	154.8	168.4
	October	158.2	158.0	155.6	157.3	197.4
	November	155.2	154.6	151.1	153.6	206.5
	December	153.4	150.0	149.5	151.6	207.8
2016	January	149.3	145.2	145.1	149.1	199.4
	February	149.5	146.3	142.0	148.2	187.1
	March	151.0	146.4	130.3	147.6	219.1

Futures markets

Futures Prices – nearby

	Mar-16 Average	% Change	
		M/M	Y/Y
Wheat	170	0.8%	-8.8%
Maize	143	0.0%	-5.1%
Rice	227	-5.2%	-3.8%
Soybeans	327	2.1%	-9.1%

Source: CME

Futures prices

Prices for wheat, maize, soybeans rose steadily m/m after registering a near-term bottom around the beginning of March. Soybean prices exhibited the largest gains, up 2 percent m/m and reached a seven month high near month end of USD 333 per tonne. These price increases corresponded with the recent rebound in crude oil prices and decline in the USD index. Conversely, rice prices fell by 5 percent, continuing their overall decline since October 2015. The USDA March Plantings Intentions report released March 31 showed a rise in maize planted acres (93 million) that topped most estimates by 3 million acres, causing a retracement of the modest price gains for the month. Soybean and wheat prices barely reacted as USDA projections were closer to expectations.

Volumes and volatility

Volumes for wheat, maize and soybeans showed marked declines of 47, 43 and 30 percent respectively m/m as well as double digit percentage declines y/y. Implied volatility, considered a forward indicator, increased somewhat from the low levels seen in February for the three commodities, while historical volatility declined. Both implied and historical volatility levels were significantly lower y/y.

Basis levels

Basis levels for wheat, maize and soybeans were weak, notably at the Gulf export market which exhibited levels of around USD 15 to 18 per tonne premium to respective futures, compared to around USD 30 per tonne premium usually quoted for April shipment. US markets reflected global competition, particularly from countries that continued to experience relatively high prices in national currency terms. The impact on the US markets has been declining exports of about 12 percent and declining commitments of about 25 percent from 2014/2015 marketing year for wheat, maize and soybeans. US interior basis levels were mixed, not reflective of high levels seen in seasons past. In Iowa, the USDA reported average farm basis at USD 22 per tonne minus May soybean futures and maize at USD 12 per tonne minus May Maize futures. In Illinois, basis levels were higher but on average, at a discount to futures prices. Wheat basis levels into northeastern mills were also quoted at discounts. Transportation levels remained

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Mar-16	Feb-16	Mar-15
Wheat (Nearby)	22.4	24.8	30.6
Maize (May)	19.1	19.2	24.2
Rice (Nearby)	26.6	25.6	21.1
Soybeans (Nearby)	14.7	14.0	22.3

subdued, with barge freight continuing to post 40 percent declines from the average of last 3 years.

Forward curves

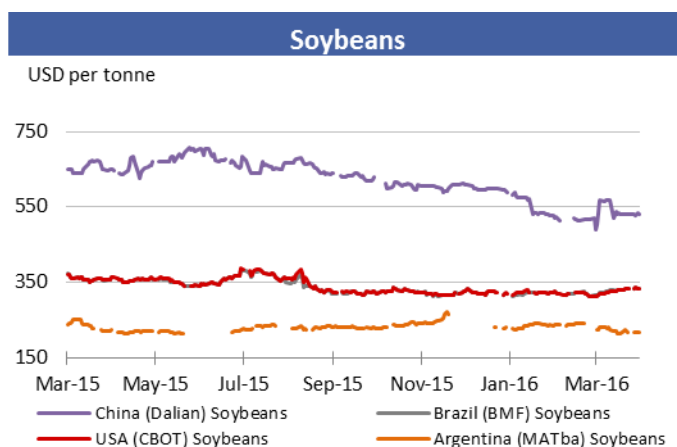
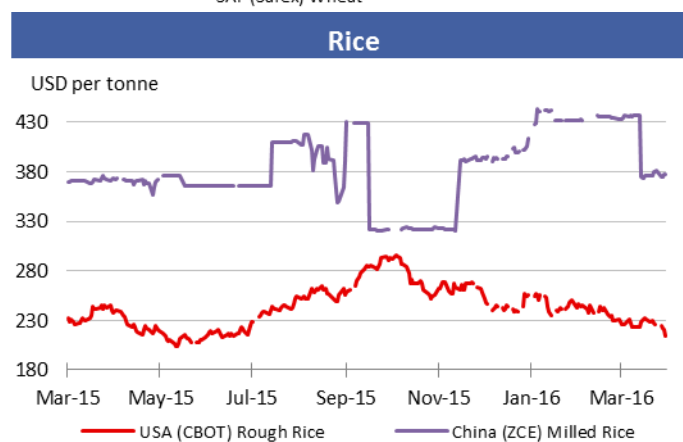
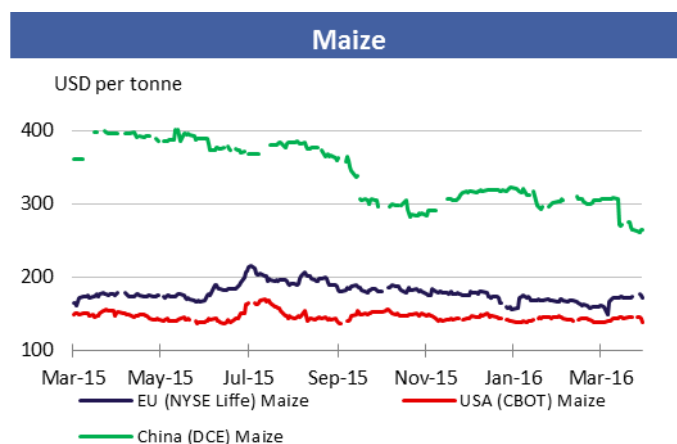
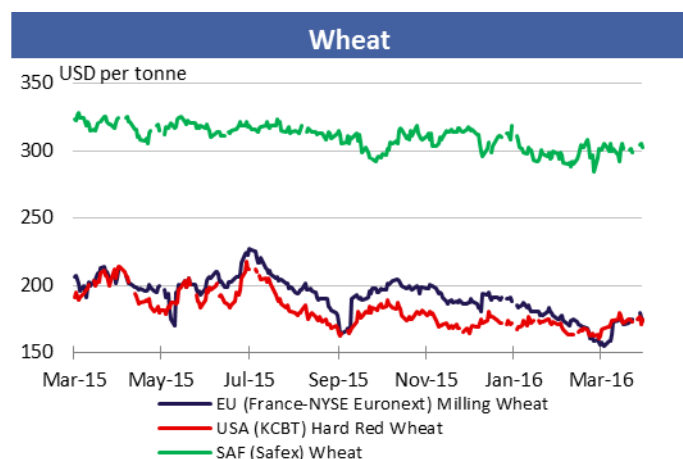
Forward curves for wheat, maize and soybeans exhibited mostly unchanged formation as basis levels remained weak. The normal seasonal tightening of nearby May contracts to July contracts and frequent inversion appeared absent this year due to sluggish demand. These curves may be sensitive, however, to weather and crop progress over the next six months.

Investment flows

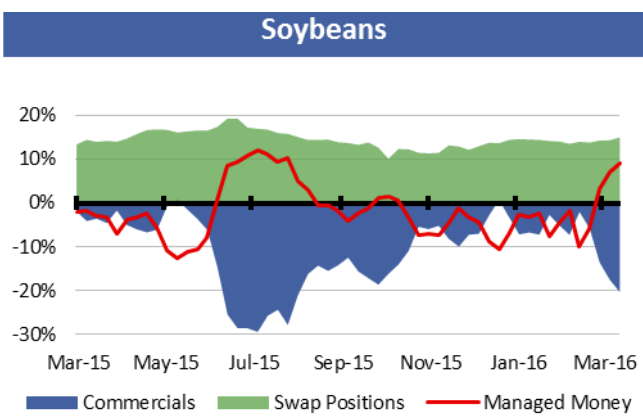
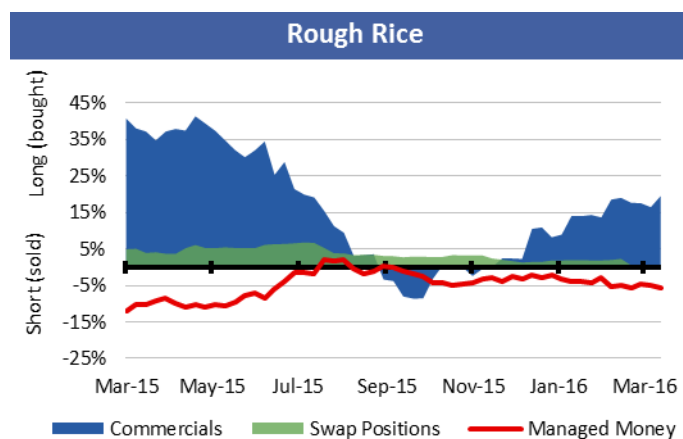
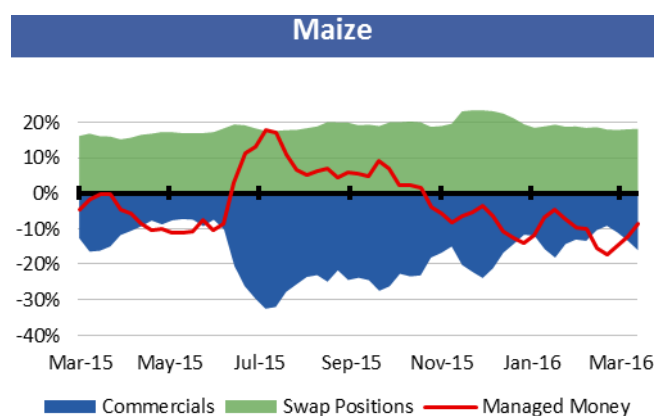
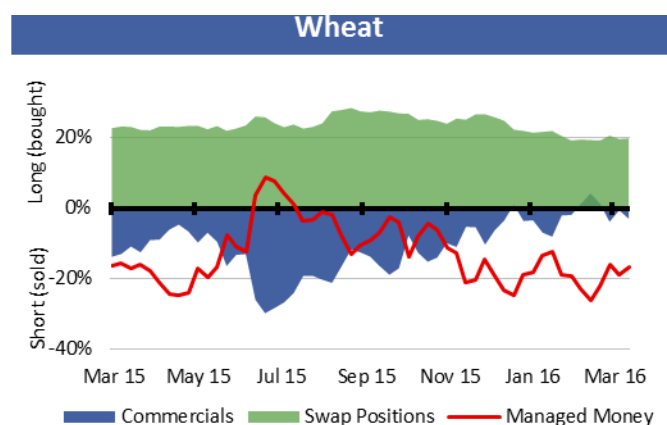
Managed money reduced its short positions in wheat and maize m/m and turned its short position into a long position in soybeans. Commercial traders continued to hold net short positions to varying degrees for all three commodities while swaps dealers maintained net longs.

Market indicators

Daily quotations from leading exchanges - nearby futures

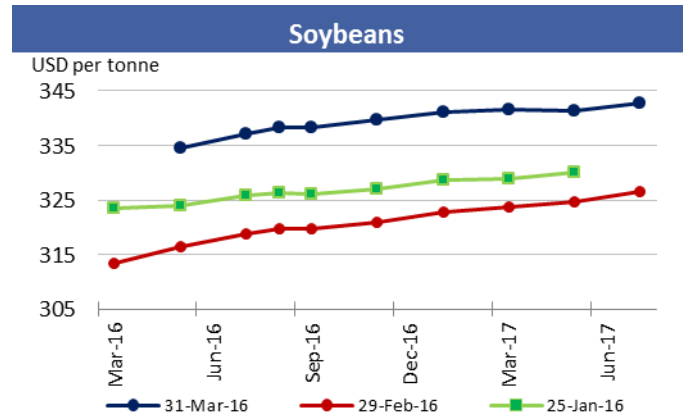
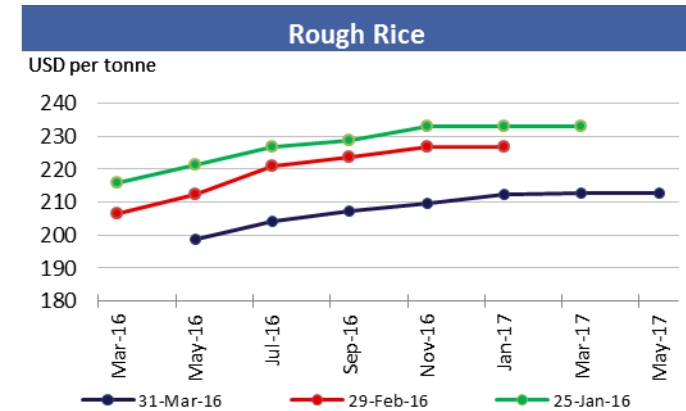
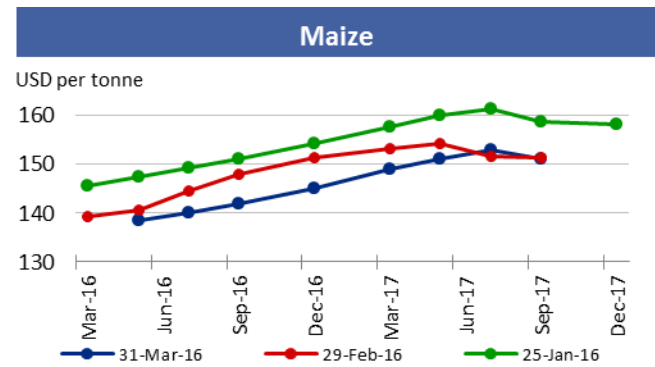
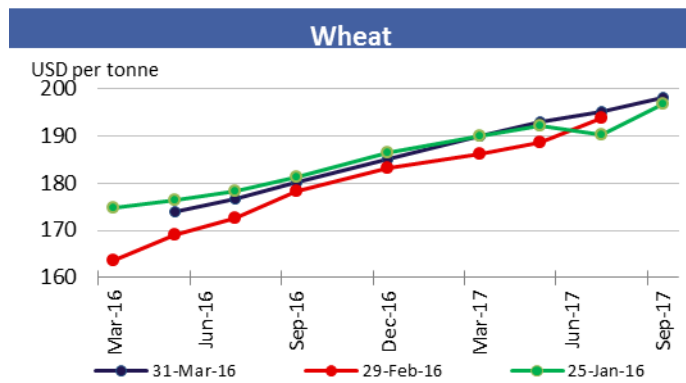


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

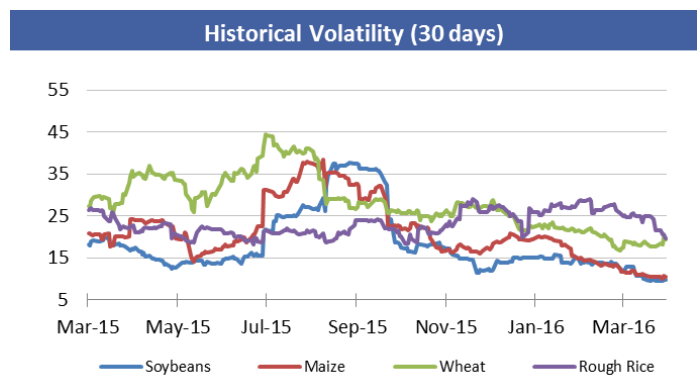
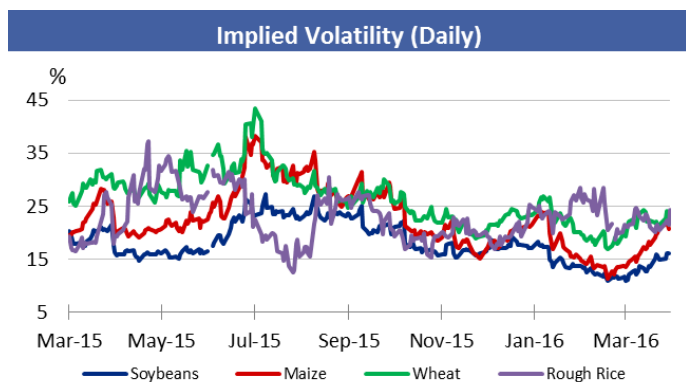


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US ethanol update

- **Ethanol futures prices** edged higher in March as RBOB gasoline futures increased significantly. The strong increase in RBOB gasoline futures prices left ethanol and RBOB gasoline futures prices near parity.
- **Spot cash prices for ethanol** in the Midwest fell slightly as did maize prices leaving ethanol production margins negative again this month.
- **Ethanol production**, on an annualized basis, was 15.36 billion gallons, up from last month. The annualized pace of production has exceeded 15 billion gallons for the last 5 months.
- **DDGs prices** are running near parity with maize, but noticeably down from last year where DDGs prices were running 130 percent of maize prices.

Spot prices IA, NE and IL/eastern corn belt average	Mar 2016*	Feb 2016	Mar 2015
Maize price (USD per tonne)	138.38	140.09	148.92
DDGs (USD per tonne)	130.97	130.22	177.07
Ethanol price (USD per gallon)	1.30	1.333	1.43

Nearby futures prices CME, NYSE	Mar 2016*	Feb 2016	Mar 2015
Ethanol (USD per gallon)	1.41	1.39	1.49
RBOB Gasoline (USD per gallon)	1.4	1.0	1.8
Ethanol/RBOB price ratio	101.1%	139.3%	80.9%

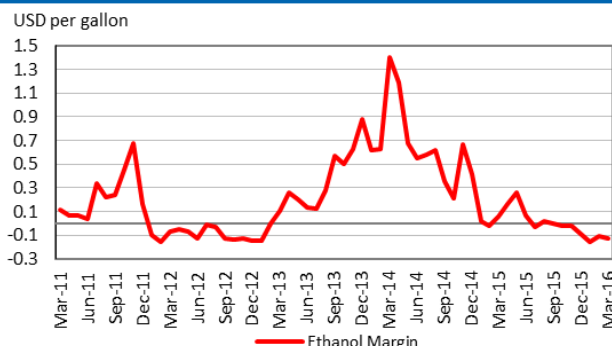
Ethanol margins IA, NE and IL/eastern corn belt average, USD per gallon)	Mar 2016*	Feb 2016	Mar 2015
Ethanol receipts	1.30	1.33	1.43
DDGs receipts	0.40	0.44	0.55
Maize costs	1.28	1.29	1.38
Other costs	0.55	0.55	0.55
Production margin	-0.13	-0.11	0.06

Ethanol production (million gallons)	Mar 2016*	Feb 2016	Mar 2015
Monthly production total	1,305	1,207	1,239
Annualized production pace	15,363	15,196	14,583

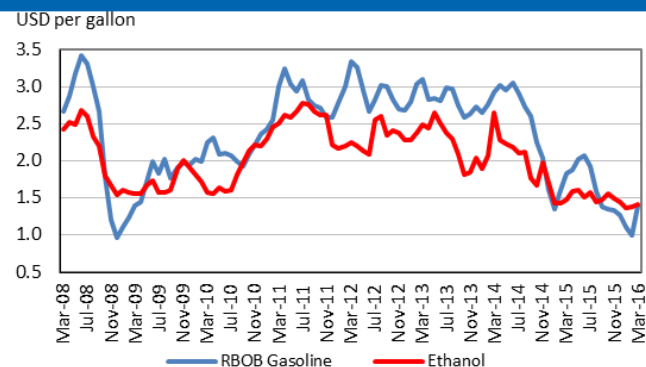
Based on USDA data and private sources

* Estimated using available weekly data to date.

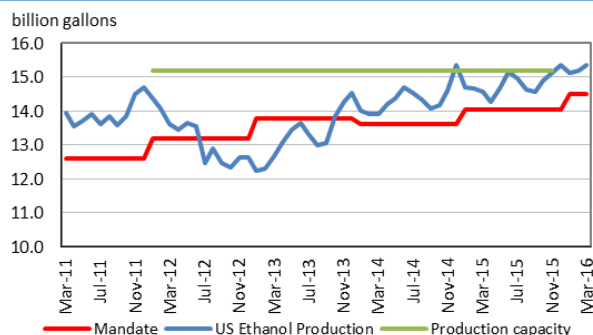
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

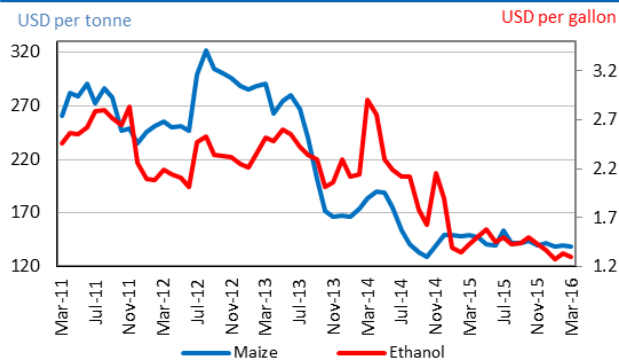


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

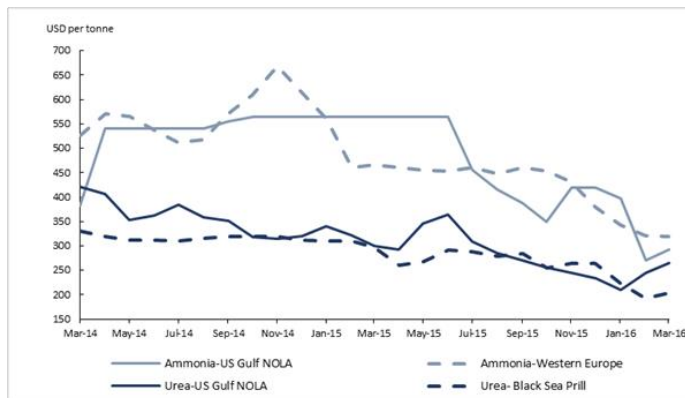
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

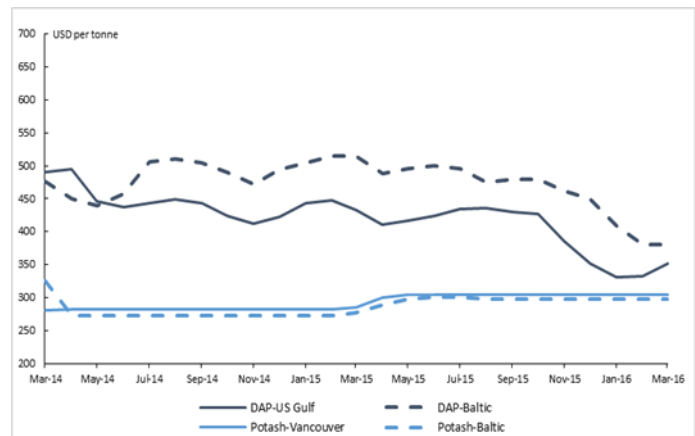
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

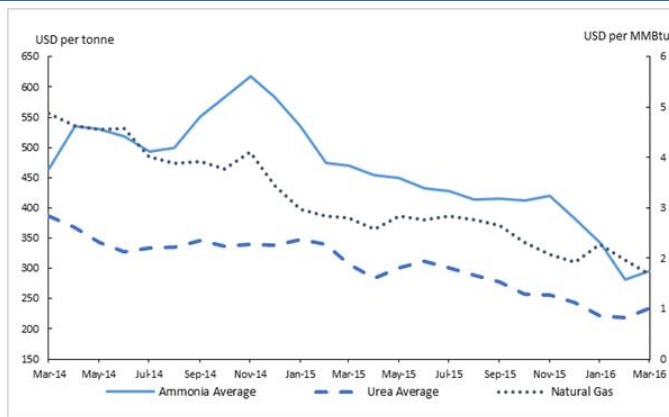
Ammonia and Urea (Spot prices)



Potash and Phosphate (Spot prices)



Ammonia Average, Urea Average and Natural Gas (Spot prices)



Charts Sources: Bloomberg

- US Gulf **Ammonia** m/m price increased 7.7 percent while Western Europe price continued to decrease to reach its lowest level in the last 12 months.
- **Urea** m/m prices in both US Gulf and Black Sea rose 8.7 percent and 5.3 percent, respectively.
- US Gulf **DAP** m/m price picked up while Baltic price showed no change remaining in its lowest level in the last 12 months.
- Western Europe, Black Sea and Baltic prices experienced higher fluctuations (volatility) relative to US Gulf prices.
- **Potash** prices remained unchanged since their last increase during the summer of last year.
- Average prices of **urea** and **ammonia** increased recovering from last month's low levels.
- **Natural gas** price continued its downward trend and reached its lowest level of the last 12 months due to high inventories and weak demand as a result of warmer weather.
- Overall, prices are overcoming this year's rough start as a more stable import demand is expected in Latin America, especially in Brazil where farmers are benefiting from subsidies and solid margins due to the weak local currency. Additionally, seasonal demand growth in key markets in Asia is contributing to market stability.

Region	March average	March std. dev	% change previous month	% change previous year	12-month high	12-month low
Ammonia-US Gulf NOLA	292.0	0	7.7%	-48.3%	565.0	271.0
Ammonia-Western Europe	320.0	20.4	-0.4%	-31.3%	466.0	320.0
Urea-US Gulf	266.0	8.9	8.7%	-11.3%	363.6	210.0
Urea-Black Sea	203.5	11.2	5.3%	-31.7%	298.0	193.3
DAP-US Gulf	351.3	5.5	5.7%	-18.8%	435.8	330.4
DAP-Baltic	380.0	18.0	0.0%	-26.1%	514.4	380.0
Potash-Baltic	298.0	0	0.0%	7.5%	300.0	277.2
Potash-Vancouver	305.0	0	0.0%	6.8%	305.0	285.6
Ammonia Average	294.9	13.1	4.5%	-37.2%	469.5	282.1
Urea Average	233.6	12.3	6.6%	-23.9%	311.4	219.2
Natural Gas	1.7	1.0	-14.4%	-40.2%	2.8	1.7

Source: Bloomberg

i Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers.
DAP: Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data.

World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances.

Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

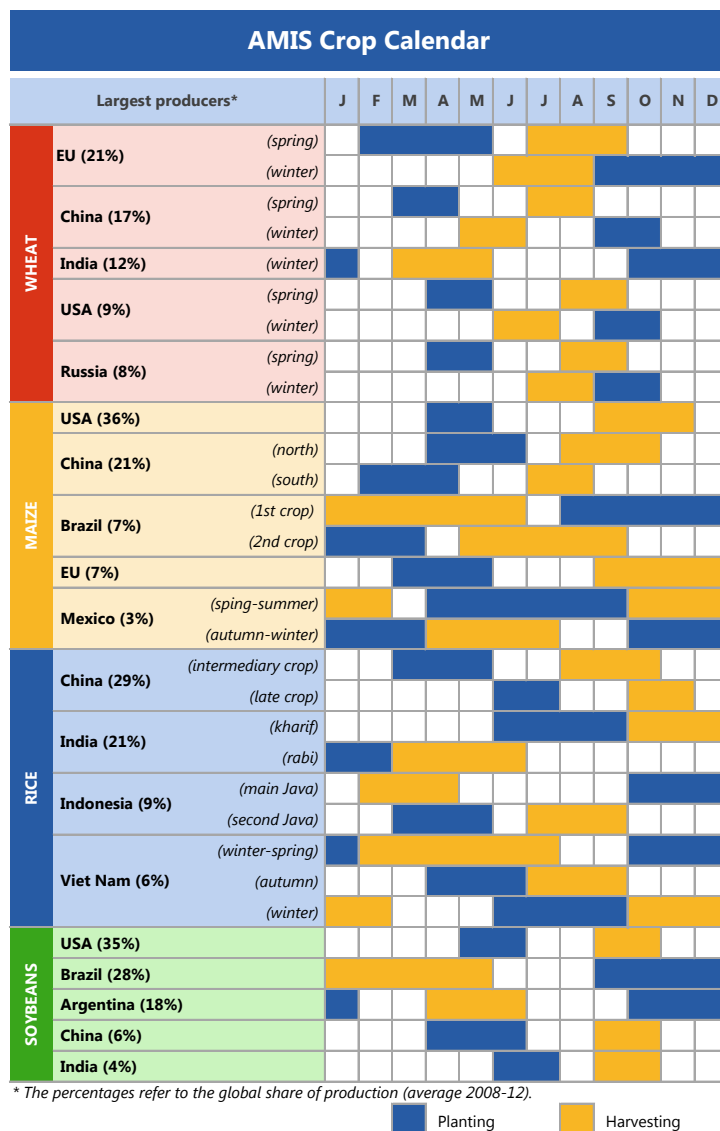
Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

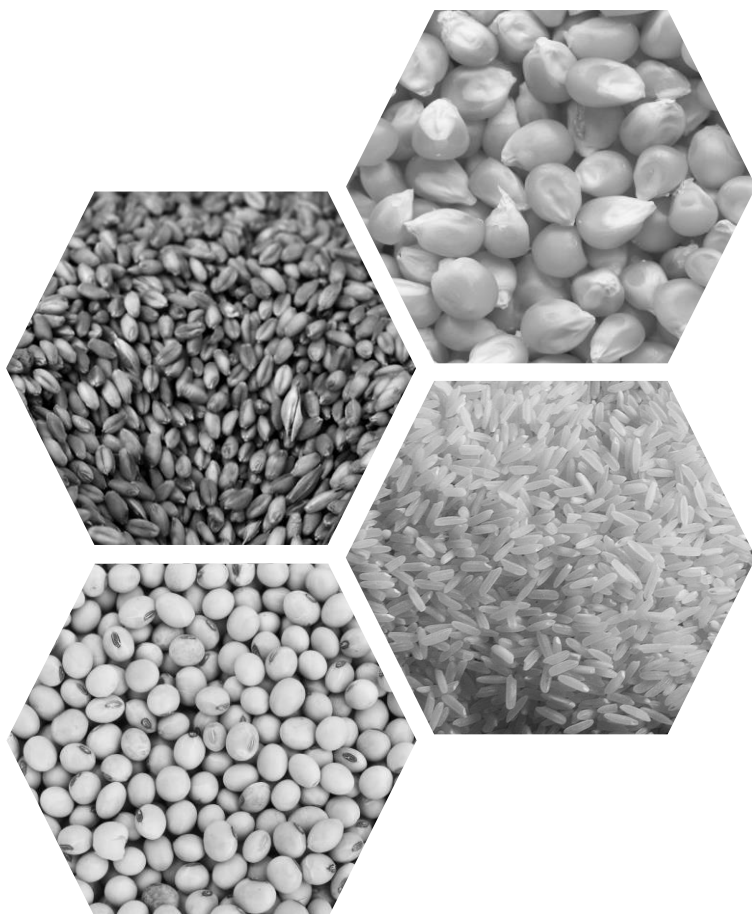
Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank



2016 Release Dates

04 February, 03 March, 07 April, 05 May, 02 June, 07 July, 08 September, 06 October, 10 November, 08 December



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